

Drawing from real East African FMCG realities (route sales thefts, depot diversions, cash skimming in Kenya's dairy/beverage sector, product diversion of "waste" stock, counterfeit/expired relabeling, illicit trade in perishables):

1. **Under-reporting cash sales** — Route salesman pockets cash from small shops/kiosks; reports lower quantity sold.
2. **Fake discounts/returns/claims** — Manager approves excessive discounts to favorites, fake customer returns (damaged/spoiled stock diverted), inflated claims for promotions.
3. **Diversion of goods** — Load full truck but deliver partial; excess sold cash/black market; "spoiled" stock cleaned/repackaged/sold informally (common in milk cartons).
4. **Ghost/fake customers** — Create dummy outlets to inflate sales/claim incentives; siphon stock to real side businesses.
5. **Kickbacks from distributors/retailers** — Depot manager favors certain outlets for bribes; over-supply to colluding parties.
6. **Stock mismatches at depots** — Theft by depot staff/security; short deliveries from plant masked as transit loss.
7. **Route sales fraud** — Salesman loads extra stock (no gate check), sells off-route, under-reports; falsifies van sheets; tampers with handheld/EFT devices.
8. **Cash handling scams** — Double-counting errors (intentional), delayed deposits, fake bank slips, collusion with bank staff.
9. **Credit sales abuse** — Extend unauthorized credit, write off bad debts personally, collect cash but report as bad debt.
10. **Logistics/vehicle fraud** — Drivers divert trucks en route (sell milk/beverages roadside), fake fuel/expenses, GPS tampering.
11. **Returns manipulation** — Accept good stock as "returned" to divert; sell returned expired stock informally.
12. **Promotion/incentive fraud** — Fake schemes, claim unearned bonuses, forge retailer proofs.
13. **Depot-to-depot transfers abuse** — Fake transfers to hide shortages.
14. **Expired/short-life product diversion** — Relabel or sell near-expiry as fresh (health risk + brand damage).

15. **Collusion with external parties** — Security guards paid to ignore theft; transporters in on diversion; fake invoices from bogus retailers.

Detailed SOPs for Sales/Distribution/Logistics/Shipping Department – CFO Central Control

CFO (Nairobi) has overriding authority: all depot managers report functionally to CFO for financial/controls; operational to local but with escalation to CFO. Full ERP/DMS (Distribution Management System) rollout mandatory (e.g., integrated with plant ERP for real-time stock visibility). Handhelds/GPS mandatory for route sales. Zero tolerance: proven fraud = immediate termination + legal recovery + blacklisting.

1. Depot Structure & Management Oversight

- Each depot (Meru, Eldoret, Kisumu, Mombasa, Nakuru) headed by Depot Manager; no independent financial decisions >KES 50,000 without CFO approval.
- Depot staff: Stores Clerk, Sales Supervisor, Cashier, Route Salesmen – roles segregated.
- Annual rotation of Depot Managers every 18-24 months; background checks + fidelity bond.
- CFO appoints Depot Finance Controller (dotted line to Nairobi Finance) for cash/stock reconciliation.
- Monthly surprise visits by Nairobi audit team (unannounced, including night checks).

2. Invoicing & Billing Controls

- All invoices system-generated in ERP/DMS; sequential, auto-numbered, no manual/duplicate.
- Invoice includes: customer code (pre-registered), product batch/expiry, quantity, price (system-locked per policy), discount (pre-approved code).
- No backdating; amendments require CFO digital approval + audit trail.
- E-invoicing mandatory for credit customers; printed + digital copy.
- Anti-fraud: System flags duplicate invoices, unusual patterns (e.g., same customer multiple high discounts).

3. Cash Sales & Route Sales Process

- Route sales via company vans/trucks: Pre-load based on daily plan (approved by Depot Manager + Nairobi Sales Head).

- Salesman equipped with handheld POS/device (integrated ERP): Scan/issue invoice real-time, record payment (cash/M-Pesa/bank transfer).
- Cash collection: Counted by salesman + supervisor (dual) at day end; sealed bag + deposit slip.
- Daily deposit: Same-day bank/M-Pesa to company account; deposit slip + bank confirmation uploaded to system by 10 AM next day.
- Reconciliation: Daily – sales report (handheld) vs. cash deposited vs. stock reduced (van load vs. returns).
- Variance >KES 5,000 or 1% triggers immediate hold on salesman + CFO investigation.
- No cash held overnight at depot; excess cash deposited.
- Anti-fraud: GPS on all route vehicles (real-time Nairobi monitoring); route deviation >15 min alerts. Random cash audits by Depot Finance Controller.

4. Credit Sales & Customer Management

- Customer master: Pre-registered in system (KRA PIN, ID, physical verification by sales team + photo/GPS).
- Credit limits: Set/approved by CFO; based on credit history, security (cheque/PDC if needed).
- Weekly aging report to CFO; >30 days overdue = auto-suspension + collection drive.
- No unauthorized extensions; manager requests via system to CFO.
- Anti-fraud: Ghost customer detection – monthly validation (visit/random call); system flags new customers with high credit.

5. Discounts, Promotions & Schemes

- All schemes pre-approved by Nairobi Marketing + CFO (policy document, duration, eligibility).
- Discounts applied via system code only; justification + approval trail.
- Promotion claims (e.g., free cases): Proof (photos, retailer acknowledgment) uploaded; verified by Depot Supervisor.
- Anti-fraud: Cap on discounts per customer/month; audit 20% of claims randomly.

6. Returns, Rejections & Credit Notes

- Returns: Brought to depot; inspected by Quality + Stores (independent from sales).
- Condition checked (photos, batch verification); only genuine quality/expiry issues accepted.
- Credit note: System-generated, signed by Quality + Stores + Depot Manager; CFO approval for >KES 20,000 or >5% of monthly returns.
- Returned stock: Segregated locked area; disposal/destruction video-recorded + witnessed (no resale).
- Anti-fraud: Track return patterns per salesman/customer; high returns = audit.

7. Dispatch, Loading & Gate Controls (Plant to Depot + Depot Out)

- From plant: Loading supervised by independent team; weighed/ counted vs. dispatch note.
- Gate pass: System-generated, matched loaded qty vs. invoice; vehicle seal + GPS activated.
- Depot receipt: Unload verified vs. dispatch note; discrepancies reported to CFO within 2 hours.
- Depot dispatch to route: Pre-load sheet approved; loaded qty scanned; gate exit with seal/GPS.
- Anti-fraud: CCTV at depot gates/loading bays (monitored Nairobi); random weigh checks.

8. Logistics & Vehicle/Driver Controls

- All vehicles (company/hired): GPS tracking 24/7; alerts for stops, route deviations, after-hours movement.
- Drivers: Background checks; no cash handling (salesman does).
- Fuel/expenses: Pre-approved; GPS-linked odometer verification.
- Transit insurance + seal verification at destination.
- Anti-fraud: Driver rotation; no long-term assignment to same route.

9. Depot Stock Management & Reconciliation

- Perpetual inventory in ERP; daily stock count for high-value (UHT, juices).
- Monthly full physical by independent team (Nairobi + external if needed).

- Discrepancies >1% value: Immediate CFO probe + root cause.
- Stock transfers between depots: Pre-approved by CFO; tracked with seals/GPS.

10. Distributor/Retailer Dealings

- Contracts: Audit rights clause; performance-based incentives.
- No cash payments to distributors; all via bank.
- Monthly statement reconciliation by Nairobi Finance.
- Anti-fraud: Anonymous feedback channel for distributors.

11. Daily/Weekly/Monthly Reporting & Dashboards

- Daily depot dashboard to CFO: Sales vs. deposit, stock variance, returns, credit aging.
- Weekly reconciliation meeting (virtual) chaired by CFO.
- Monthly audit: Surprise cash/stock count + process review.

12. Technology & Monitoring

- Handhelds mandatory; no cash-only sales without device.
- ERP integration: Plant → Depot → Route real-time visibility.
- CCTV + GPS central monitoring from Nairobi.
- Whistleblower hotline: Direct to CFO; rewards KES 50,000–300,000 for proven tips.

13. Training, Accountability & Incentives

- Quarterly fraud awareness training for all depot/route staff.
- Code of conduct signed annually.
- Bonuses tied to clean reconciliations, low variances, no fraud cases (not just sales volume).

Implement ruthlessly. In 3-6 months, stock matches will improve, cash leakages drop 80%+. Depot managers must report to CFO first on finances.